ASTANA IT UNIVERSITY
School of Digital Public Administration

Assignment 1

Business Report — comparative analysis of Company A and Company B

Business Administration (5 ECTS) · Year 1, Trimester 1
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Company A: Ferrero

Company B: Bayan Sulu

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1. Business Context

Bayan Sulu is the largest candy producing company. This chocolate maker factory based in Kazakhstan, located in the North region, city Kostanay. It produces more than 300 variations of products: different types and shapes of chocolate, cookies and waffles. The company sends 40% its products to 14 countries [1]. However, 50% of domestic candy market which is sold in Kazakhstan is imported. For instance, in developed markets imported candy amount is only 5% [1]. As you can see, there is a huge gap between number of imported sweets in Kazakhstan compare to other countries. It affects local sweet market and it does not give as much opportunity as it could have given for the growth of Bayan Sulu's economy. Despite this pressure, the company's revenue is 51.79B KZT in 2025 and profit grew up to 28,4% which is 4.44B KZT [2]. Bayan Sulu makes profit on low prices and high volume, rather than selling premium high-cost products.

My second company I chose is Ferrero. It is a family-owned Italian company with famous brands like Nutella Kinder, Ferrero Rocher. It operates in more than 170 countries, with 50 000 employees around the world and €19B revenue [3]. In contrast Bayan Sulu's revenue is only 1,6% of Ferrero's, just a very small fraction. In 2022 sugar shortage hit Bayan Sulu hard due to import difficulties [1], [4], Ferrero can easily absorb such cases due to its sheer scale.

2. Environment and Stakeholders

There are six stakeholder groups relevant to AI use: customers, employees, suppliers, investors, regulators, environment.

Customers:

Bayan Sulu uses AI only for internal production and quality control automation. Whereas Ferrero uses AI closer to its customers. This Ai name is Alloy.ai [5]. It forecasts demand of products in the US, using the collected data via apps and loyalty programs. With larger direct customer interactions, AI use creates more responsibilities due to data privacy and transparency aspects.

Suppliers and environment:

Ferrero has built a system to monitor its palm oil supplier's deforestation risks, it is called Starling, developed together with Earthworm Foundation and Airbus [6]. This tool is effective only if Ferrero acts on what it finds.
Bayan Sulu's supplier base is local and regional. It does not have risk of deforestation as Ferrero has. If Bayan Sulu starts to place orders with suppliers based on AI driven plans, it might really hurt small suppliers due to irregular, unpredictable and volatile orders.

Ownership and investors:

Bayan Sulu is publicly listed on KASE [7], which means it legally must disclose its AI related projects to the public. While Ferrero is privately owned by the Ferrero family and discloses Ai related matters at its own discretion.

Regulations:

Bayan Sulu answers mainly to Kazakhstan food-safety and securities rules. Ferrero navigates across more than 170 countries. It must comply with rules and regulations of all countries it operates, including the EU AI Act [8]. Since it is still early days of AI adoption for Bayan Sulu, it has an opportunity to setup data privacy and transparency rules now, which is far better than doing it after AI implementation.

3. Business Model and Ownership

Business model of Bayan Sulu is pretty simple: standard mass-market products focused on volume and gaining margins through scale. It has invested more than $100M in production equipment over 15 years [1], moreover, 13B KZT (~$29M) is planned for a new factory [1]. It holds following international certifications: ISO 9001, ISO 22000, ISO 50001, Halal [9]. As mentioned earlier, it is a joint-stock company, shares traded on KASE.

In contrast, Ferrero focuses on strong premium brands. Business model is based on gaining margins by pricing high on strong brands like Nutella and Kinder. Ferrero International S.A. is a private company that is registered under Luxembourg law and is family-controlled [3]. Since its operation is funded by retained profits and family capital, it has minimal disclosure obligations.

AI investments of Bayan Sulu should go into production optimization efforts, not brand image improvements. This makes sense since almost all previous investments went into equipment and certifications. There are no traces of any AI investments from Bayan Sulu in comparison to Ferrero, this fact should be used more as an opportunity to learn lessons from companies who has already started investing in AI.
Since core business model of Bayan Sulu is volume-driven, using AI in minimizing overproduction should be a focus item.

4. Comparison and Transfer Judgment

AI idea	What Ferrero does	Our call for Bayan Sulu	Why
Predict what stores need	Tracks real store sales data in the U.S. to avoid running out of stock or having too much [5]	**Pilot**	Kazakhstan stores are a small, safe place to test this before trying it in 14 different export countries
Trace ingredients back to the farm	Traces over 90% of its cocoa, palm oil, and hazelnuts [10]	**Adapt**	Bayan Sulu's real risk is smaller — mainly imported sugar and African cocoa. A simple tracking tool aimed at the 2022 sugar problem makes more sense
Watch farms by satellite for illegal tree-cutting	Watches 100% of its palm oil farms by satellite [6]	**Delay**	Bayan Sulu does not buy much palm oil and sells mostly to markets that don't require this yet.
Study customers and show different ads	Groups app and website visitors, then shows each group different ads	**Pilot**	Bayan Sulu's website and app have far fewer visitors than Ferrero's. Test this on one channel before

AI idea	What Ferrero does	Our call for Bayan Sulu	Why
			building a big system
Use AI to design many unique product labels	Designed 7 million unique Nutella jar labels; they sold out [11]	**Adapt**	A smaller, one-season version on one product fits Bayan Sulu's budget better than a big national campaign
Use AI cameras to sort ingredients	Common in this industry for companies Ferrero's size	**Adopt**	This is an off-the-shelf tool, not a new invention. It fits how Bayan Sulu already spends money on new equipment, and it would cut waste right away

5. Recommendations

1) Ferrero USA's Alloy.ai [5] can be a good example of tracking supply chain which Bayan Sulu can adapt. An AI demand-forecasting need to be pilot first. Kazakhstan's retail stores are small and perfect for testing.
2) Bayan Sulu needs to adapt supply-risk tracker for sugar and cocoa which will be a good investment for avoiding shortage of ingredients. Back in 2022 company already faced serious sugar shortage [1], [4].
3) AI-ethics policy has to be shortly drafted. Not a single AI decision is made without human review. Customer data will never be used without disclosure. The senior management has to support AI related issues and the annual disclosure would be the clearest signal of progress.
4) Bayan Sulu needs to adapt AI-assisted sorting on its production line. With this kind of AI assistance, it would be possible control material waste, led by plant operations. A falling waste rate within the first-year signals success.
5) Bayan Sulu should adapt Ferrero's idea on audience-segmentation only their website because company's traffic far smaller compare to Ferrero's. Also, Bayan Sulu can adapt one-season limited edition on a single product, rather than using Ferrero's AI-personalized packaging idea on millions of unique products [11].

In summary, Bayan Sulu should consider adopting readily available AI solution like sorting the ingredients. Piloting AI demand forecasting is most likely the biggest opportunity as it fits the business model of mass production, since large volume of production can lead to large volume of wasted products.

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